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Guy Opperman says industry in agreement VfM is a 'slow-moving car crash'

Former pensions minister claims widespread industry criticism of the framework



Alex Levy

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Image: Guy Opperman: 2026 Pensions Act is the broadest and most lacking in specifics I have ever seen in 14 years of government

Former pensions minister Guy Opperman has said the industry is in agreement that the value for money (VfM) framework is "a slow-moving car crash" and claimed widespread industry disquiet with the proposals.

In a LinkedIn post following the Pensions UK Annual Conference, Opperman included a point on VfM, writing: "Everyone agrees [it is] a slow-moving car crash, but no one [is] brave enough to do the necessary change to independent assessment".

He claimed that "no one wants to fall out with the minister", but that industry figures were "very, very frank in private".

The VfM framework was enshrined in the Pension Schemes Act 2026 and will see defined contribution (DC) schemes assessed and rated against their peers on investment performance, costs and charges, and service quality.

Larger schemes are expected to start submitting 2027 data to regulators in March 2028, before the first assessment reports are published in October that year. In that year, smaller schemes will only be

required to complete data returns, not assessments.

A consultation from the Department for Work and Pensions (DWP) on VfM closed for comments in September, with providers bullish about the reform's potential to deliver transparency and better outcomes for members.

Some respondents said the industry was pushed for time to deliver reforms and many called for a relaxation of the red, amber, green rating system during the first year. Concerns were also raised that the framework would create homogenous investment strategies and disincentivise a long-term view of investment.

People's Partnership called on the government to develop secondary legislation concurrently, including regulations and technical requirements, to make the roadmap achievable.

However, Opperman said that the focus at the conference on the Pensions Commission and state pension showed "Minister [Torsten] Bell has clearly moved on", and described the 2026 act as "the broadest and most lacking in specifics" that he had seen in 14 years of government.

"You have to get your secondary legislation right. Government does not always do this. I bear those scars," he added.

A DWP spokesperson said: "There is widespread support across industry for the purpose and objectives of the Value for Money framework, and we are working in partnership with industry to get it right.

"We have consistently taken on board industry feedback through multiple consultations and workshops, adapting our proposals in response. Greater transparency of the data underpinning Value for Money assessments will enable wider scrutiny and build trust in the framework

"Our timeline for regulations, data collection and assessment publication is clearly set out."

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